

ICELAND 2005

1. Overview of the system

Iceland has an insurance-based unemployment benefit system. Financial assistance is available for those without other resources. Two kinds of housing benefit programmes are in existence. There is a rent benefit for tenants with low income. Mortgage interest benefits are open to home owners. Means-tested family benefits are available to parents. The social security administration provides benefits for single parents providing for two children or more. Married persons are taxed individually.

1.1. *Average worker wage (AW)*

The 2005 AW level is ISK 4 140 000.

2. Unemployment insurance

2.1 Conditions for receipt

To be between 16 and 70 years old of age, willing and available to work and to be able to confirm the unemployed status by means of a letter from the labour exchange. Applicants must have worked at least 10 weeks in a full-time job to qualify for any benefits. The qualifying period for part-timers lengthens proportionally. They must have been registered unemployed for at least three days, but receive benefits from the first day. In order to qualify for full benefits, applicants must have worked for the last 12 months in a full time job.

2.1.1 Employment conditions

Ten weeks of insured employment to qualify for full benefits. Applicants must have worked for the last 12 months to qualify for full benefits.

2.1.2 Contribution conditions

Coincide with the employment conditions.

2.2 Calculation of benefit amount

2.2.1 Calculation of gross benefit

Benefits are paid in proportion to the number of hours worked in insured employment in the previous 12 months:

- Full benefit of ISK 4 219 per day (5 days per week) is paid to those who have worked for 2 080 hours or more (average of 40 hours per week).
- For those who have worked for between 400 and 2 080 hours, there is a scale defined with 76 steps, from 25 per cent to 100 per cent of the benefit rate, each step representing 1 per cent of the full benefit.
- A minimum benefit of ISK 1 055 per day is paid to those who have worked for 400 hours of work (25 per cent of full benefit).

There is also a family supplement of ISK 169 per day (4 per cent of full benefits) per dependent child under 18 years of age.

2.2.2 Income and earnings disregards

None; there is no income test. If a recipient has occasional employment for one or two days at a time, benefit is reduced in proportion to the number of hours worked.

2.3 Tax treatment of benefit

Benefits are subject to general income taxation.

2.4 Benefit duration

Benefits are paid for a maximum of 5 years.

2.5 *Treatment of particular groups*

2.5.1 *Young persons*

None.

2.5.2 *Older workers*

None.

3. *Unemployment assistance*

None.

4. Social assistance

It is a last resort financial assistance, administered by local governments.

4.1 Conditions for receipt

To be aged 18 or over.

4.2 Calculation of benefit amount

4.2.1 Calculation of gross benefit

Financial assistance is the difference between the needs (the applicable amount) and the claiming household's resources. The applicable amount for the capital, Reykjavik, is shown below. Note that rates differ regionally.

Size of household	Applicable amount: recommended minimum monthly rate (in ISK)
Single persons	84 245
Couples	134 792

There are no allowances for dependent children. The resources include all gross family income. Excluded are income of children and all benefits paid in respect of children such as child support and family benefits, and rent benefits. Unemployed youth aged 18-24 living with low-income parents are entitled to up to half assistance. In addition there are available grants/loans to receivers of assistance to meet various expenses, such as funeral costs, dental bills, etc.

4.2.2 Income and earnings disregards

There are no disregards; there is a one-to-one means test including all gross family income.

4.3 Tax treatment of benefit

Subject to general income taxation.

4.4 Benefit duration

Unlimited.

4.5 Treatment of particular groups

None.

5. Housing benefits

There are two schemes for housing benefits, one for tenants and one for home owners. A) Home owners can receive interest rebates to offset their mortgage payments. B) Rent benefits are available to households renting accommodations as long as no household member owns any other real estate. The central government finances the rent benefits partially but local authorities administer the benefits. The cost of mortgage interest rebate is borne by central government.

5.1 Conditions for receipt

Rent benefits are available to tenants with a certified rental agreement of at least 6 months duration. In addition the rented accommodation must be a self-contained unit, such that e.g. rooms in dormitories on campus are excluded. Rent benefits are means-tested. Due to the low income disregard and steep income testing the rent benefits are targeted on low income tenants.

Mortgage interest rebate is open to all home owners with mortgage payments.

5.2 Calculation of benefit amount

5.2.1 Calculation of gross benefit

Rent benefit. There is a fixed amount per claiming household of ISK 8 000 per month, with additional ISK 7 000 per month if there is one dependent child, plus ISK 6 000 per month for a second child, plus ISK 5 500 per month for the third and additional children. The children must have a legal residence in the rental home. The benefit also takes into account the rent payments, in such a way that 15 per cent of the rent above ISK 20 000 and below ISK 50 000 are added to the above amounts. One per cent of the household's previous year taxable income in excess of ISK 2 000 000 is deducted. 25 per cent of the household's net wealth exceeding ISK 3 952 474 is counted as income in this respect. The final rent benefit can never be higher than ISK 31 000 per month or half of paid rent, whichever is lower. For the purposes of this study, the persons are assumed to have been working at the same earning level, and full time, in the previous year.

Mortgage interest rebate. This programme is in effect a part of the tax system, and replaced deductibility of interest payment a long time ago. The rebate is based on interest paid on a home purchase loan, subject to a maximum of ISK 507 152 for a single person with no dependent children, ISK 665 783 for single parents and ISK 824 412 for a couple. The interest payments are also subject to a maximum of 5 per cent of outstanding mortgage. From this amount 6 per cent of taxable income is deducted. Net wealth exceeding ISK 3 814 581 for singles and ISK 6 323 324 for a couple can further limit the rebate. The rebate depends thus basically on the size of the mortgage relative to taxable income and net wealth.

Note that the interest rebate is based on paid interest and income in the year 2005 but is not paid out until 2006.

5.2.2 Income and earnings disregards

Full rent benefits are paid to families with combined annual income of up to ISK 2 million. 1 per cent of income in excess of this threshold would be deducted from benefits.

5.3 Tax treatment of benefit

Rent benefit. Not taxed.

Mortgage interest rebate. Not taxed. Administered and paid through tax authorities.

5.4 *Treatment of particular groups*

5.4.1 *Young persons*

None.

5.4.2 *Older workers*

None.

6. Family benefits

Means-tested benefit for dependent children. A basic allowance for each child under the age of 7, not linked to income.

6.1 Conditions for receipt

To have a dependent child under 16 years of age.

6.2 Calculation of benefit amount

6.2.1 Calculation of gross benefit

The benefit amount per child and income limits depend on the household composition (in ISK), 2005

Supplementary allowance (per child, per year)	Maximum	Income limit
Couple		1 859 329
First child	139 647	
Successive children	166 226	
Addition for children under 7 years	46 747	None
Single parents		929 665
First child	232 591	
Successive children	238 592	
Addition for children under 7 years	46 747	None

Note that child benefits are based on income in the year 2005 but are not paid out until 2006.

6.2.2 Income and earnings disregards

The allowance for parents with one child is reduced by 3 per cent of income above the income limit, by 7 per cent for parents with 2 children and by 9 per cent for parents with 3 or more children.

6.3 Tax treatment of benefit

Not taxable.

6.4 Treatment of particular groups

See below for treatment of single parents.

7. Childcare for pre-school children

Pre-schools are available to all children who have not reached the age at which compulsory school begins, i.e. in autumn of the year in which the child turns six. However, very few pre-schools accept children less than one year old, and the youngest children are usually about two years of age. Before that they may be cared for by daymothers.

In 2004 27 per cent of all one year old children in Iceland were in pre-school, 90 per cent of all two year old and 93-95 per cent of three to five year olds.

7.1 Out-of-pocket childcare fees paid by parents

Local municipalities pay for the construction and the operation of pre-primary schools. Parents contribute a substantial amount towards operating costs at the pre-primary level. The share that the parents contribute varies from municipality to municipality and often depends on the circumstances of the parents like in some municipalities' single parents and students pay substantially lower fees than others and some offer reduction to parents who have two or more children attending schools at the pre-primary level. On the whole, parents contribute about a third of the operating costs of pre-primary schools.

The tariff of Reykjavík pre-schools depends on the number of hours and on the economic status of the parents. The tariff is divided into three categories:

I. General tariff, married parents and parents who live together.

II. One parent is a student or one parent is an invalid. The Icelandic Government Student Loan Fund has issued some guideline rules as to which studies are considered valid, like the student should take at least 75 per cent of full time University hours and 100 per cent in cases where the student is specializing in a certain field. Students at the University of Iceland should take at least 11 credit hours each semester. This category is also for fulltime students in junior college and vocational schools. Evening classes are not valid.

III. Single parents. Both parents being students according to the definition of the Icelandic Government Student Loan Fund. Both parents being invalids. Employees of Reykjavik Preschools.

The Tariff of Reykjavík Preschools (valid from September 1st 2005)

Hours	Category I	Category II	Category III
4	12 340	9 340	5 780
5	18 540	14 790	10 340
6	21 340	16 840	11 500
7	25 280	20 030	13 800
8	28 080	22 080	14 960
9	30 880	24 130	16 120

In Category I lunch is not included in a four hour day. Snack is included in all categories. A discount for siblings is 40 per cent for the second child and 90 per cent for the third child. There is also a discount for siblings if children in a preschool have siblings in a family day-care or in a private preschool, see the tariff for subsidy of day-care fees.

7.2 *Child-care benefits*

none

7.2.1 *Conditions for receipt*

7.2.2 *Calculation of benefit amount*

7.2.2.1 Calculation of gross benefit

7.2.2.2 Income and earnings disregards

7.2.3 *Tax treatment of benefit and interaction with other benefits*

7.2.4 *Treatment of particular groups*

8. **Employment-conditional benefits**

None.

9. Lone-parent benefits

Single-parents with two or more children are entitled to additional benefits from the Social Security Administration, the so-called mother/fatherhood allowance.

9.1 Conditions for receipt

To be living alone with at least two children under 18 years of age.

9.2 Calculation of benefit amount

9.2.1 Calculation of gross benefit

Lone parent benefits	Yearly amounts
2 children	57 972
3 children	150 720

9.2.2 Income and earnings disregards

The benefit is not income tested.

9.3 Tax treatment of benefit

Subject to general income taxation.

9.4 Treatment of particular groups

None.

10. Tax system

Iceland has proportional tax rates on personal income for central and local government taxes. A tax is levied on net wealth. Capital income is taxed separately, at a rate of 10 per cent.

10.1 Income tax rate schedule

The PAYE general income tax rate in 2005 is 37.73 per cent of which 24.75 per cent go to the central government and 12.98 per cent to municipalities. Incomes in 2005 in excess of 4,191,686 krónur for an individual and double that for a couple are subject to a surtax of 2 per cent. Proceeds of the surtax go to the central government.

10.1.1 Tax allowances and credits

- *Relief(s) for compulsory pension contributions:* Since January 2000, the compulsory payment to pension funds, amounting to 4 per cent of wages, is deductible. In addition, an optional payment of up to 4 per cent of wages may also be deducted. As the additional 4% contribution is optional, it is considered to be a non-standard relief.
- *Work related expenses:* earnings related transportation costs (net of fringe benefits) are deductible up to a certain limit.
- There is a basic tax credit of ISK 339 846 per earner. Married couples may utilise the spouses' unutilised portion of his/her credit. The credit is subtracted from central and local government taxes; unused portions are not refundable. Seamen get an additional tax credit, calculated per diem for number of days at sea. The per diem amount in 2005 was 768 ISK and is credited against the central government tax.

10.1.2 The definition of taxable income

Category A comprises wages and salaries, including presumptive employment income of the self-employed (see below), employment-related benefits, old-age pensions, social security payments, grants, payments to copyright holders, royalties, etc. *Category B* comprises income from a business and income from an independent economic activity. *Category C* comprises investment income such as dividends, interest and capital gains. Income in category C is taxed at a flat 10 per cent rate with no tax credit.

Individual gross earnings minus allowances.

10.1.3 The tax schedule (see above)

- Central government: 24.75 per cent of taxable income.
- Local government (average rate): 12.98 per cent of total gross income (before allowances).

10.2 Treatment of family income

The tax unit is the individual. Non-wage income of married couples is taxed jointly.

10.3 Social security contribution schedule

In 2005 employees pay a fee to the Construction Fund for the Elderly at a fixed annual amount of ISK 5 738 if annual taxable income was above ISK 855 231 in 2004. Persons less than 16 years old and

70 years or older are exempt as well as old age pensioners or invalids residing in old-age, nursing homes or special care establishments.

Employers pay a social security contribution of 5.73 per cent of their total payroll cost to the Social Security Institute, a central-government agency. The proceeds go towards – but do not fully finance – the central government’s costs of old age, disability and health care, the remainder of the cost coming from general tax revenue.

Pension funds: Employees aged 16-70 years must be members of a pension fund and contribute 4 per cent of their wages, generally deducted on a withholding basis. The employer counter-contributes at least another 6 per cent, although most wage agreements currently stipulate a 7 per cent counter-contribution. Both contributions are deductible from income before tax.

In addition, employees can contribute up to 4 per cent of their income to a pension fund on an optional basis and this contribution is also tax exempt. If an employee chooses to take this option the employer will match the employee’s contribution by up to 2 per cent of the employee’s wages.

11. Part-time work

11.1 *Special benefit rules for part-time work*

Unemployment benefits are paid proportional to the time spent in paid employment. (See section on unemployment benefits.)

11.2 *Special tax and social security contribution rules for part-time work*

None.

12. Policy developments

12.1 Policy changes in 2005

The personal income tax paid to the Treasury was cut by 1 per cent as of the beginning of 2005, from 25.75 per cent to 24.75 per cent. This tax will be cut by another 1 per cent as of the beginning of 2006 and by 2 per cent in 2007. The average municipal income tax collected under the PAYE system rose from 12.83 to 12.98 per cent in 2005, for a total PAYE rate of 37.73 per cent in 2005, as against 38.58 per cent in 2004.

The annual tax-free income threshold was increased by 5.3 per cent, from 855 231 to 900 732 krónur.

Child benefits were amended as follows (in krónur per year):

	2004	2005	2006	2007
For all children under the age of seven	36.308	37.397	46.747	56.096
Children under the age of sixteen:				
First child	123.254	126.952	139.647	139.647
Each additional child	146.713	151.114	166.226	166.226
Benefits for single parents:				
First child	205.288	211.447	232.591	232.591
Each additional child	210.584	216.902	238.592	238.592
Income threshold for benefit curtailment:				
For couples	1.444.139	1.487.463	1.859.329	2.231.195
For single parent	722.070	743.732	929.665	1.115.598
Curtilment of benefits:				
For one child	3%	3%	3%	2%
For two children	7%	7%	7%	6%
For three children or more	9%	9%	9%	8%

All reference for interest rebates were raised by 2.5 per cent at the beginning of 2005. The ceiling on interest payments that qualify for the interest rebate is being reduced to from 5.5 per cent to 5 per cent of debt in order to reduce the incentives to increase household debt. This will take effect from the beginning of 2006.

As of the beginning of 2005, all social security and unemployment benefits were raised by 3 per cent.

12.2 Policy changes announced